CARS: A MOVEABLE FEAST

Cars have always been a symbol of upward mobility, and utility is not always the prime consideration in the choice of vehicle. According to data compiled by the consultancy JATO Dynamics, the share of cars in the Rs 7.5 lakh-Rs 22.5 range in total sales went up from 44.2 per cent in calendar year 2021 to 53.4 per cent in 2022, and was around 62.4 per cent till November last year (see *Vrooming Ahead*). The share of small cars (priced up to Rs 7.5 lakh), on the other hand, fell from 55.8 per cent in 2021 to 46.4 per cent in 2022, and dwindled further to 36.5 per cent up to November 2023.

"A number of new, feature-rich products have entered the market," says Ravi G. Bhatia, president and director of JATO Dynamics. In 2021, only 6 per cent of the SUVs (sports utility vehicles) had 360-degree cameras, just 1 per cent had adaptive cruise control, 49 per cent had the 'hill holder' option, 35 per cent had low tyre pressure indicators, 14.6 per cent had a mobile wireless connection such as Apple CarPlay or Android Auto, 31.3 per cent had remote services and 20 per cent had wireless charging pads. In 2023, till November, 13 per cent SUVs came with 360-degree cameras, 3.6 per cent had adaptive cruise control, 74.7 per cent 'hill holders', 52.4 per cent low tyre pressure indicators, 35.6 per cent mobile wireless connections, 40 per cent remote services and 26.6 per cent a wireless charging pad. Consumers, too, are now more aware of safety features and the latest technology. Mahindra & Mahindra's XUV 700 comes equipped with ADAS, or the advanced driver assistance system, which allows a driver to shift to autopilot mode on long drives. Airbags are mandatory in cars these days.

All this has led to an escalation in prices. Bhatia estimates that there has been a 23 per cent rise in car prices



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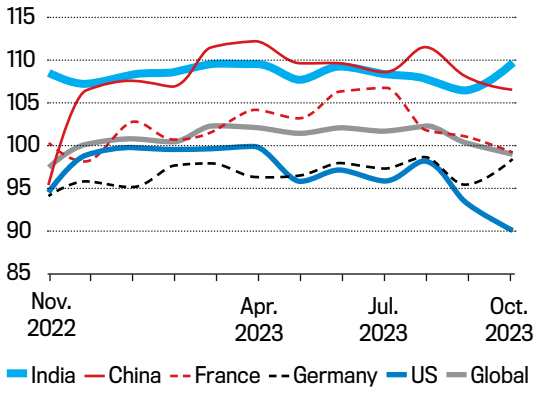
"CONSUMERS TODAY DO NOT MIND PAYING EXTRA AS LONG AS THEY GET VALUE FOR MONEY AND ALSO SEEM TO BE ABLE TO ABSORB THE INCREASE IN PRICES"

THAT PREMIUM FEELING

A SENSE OF FINANCIAL SECURITY AND RISING INCOMES ARE SPURRING INDIANS TOWARDS FEATURE-RICH PRODUCTS

POSITIVE SENTIMENT

Deloitte's financial well-being index (FWBI) reveals that Indian consumers feel more financially secure compared to their counterparts in Europe, the US, and even China

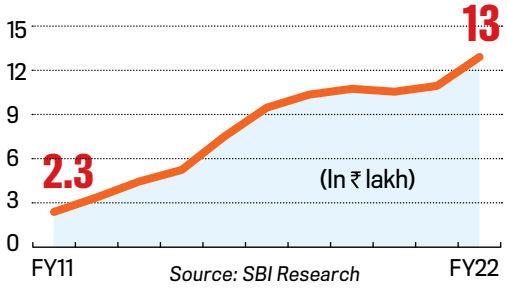


(Financial well-being is measured across six dimensions of financial health like confidence to make upcoming payments, comfort with level of savings, income relative to spending, delays in making large purchases, current financial situation relative to the previous year and expectations of future financial situation.)
The global index line represents an average of eight of the top 10 global economies by their GDP in 2022 according to the World Bank.

RISING INCOME

The average annual income of the Indian middle-class home has risen significantly in the past decade, from ₹2.3 lakh in FY11 to ₹13 lakh in FY22





Source: SBI Research

Graphic by TANMOY CHAKRABORTY